

JPX Investor Day 2025

Clearing Services

President & CEO

Japan Securities Clearing Corporation

Konuma Yasuyuki

July 1, 2025

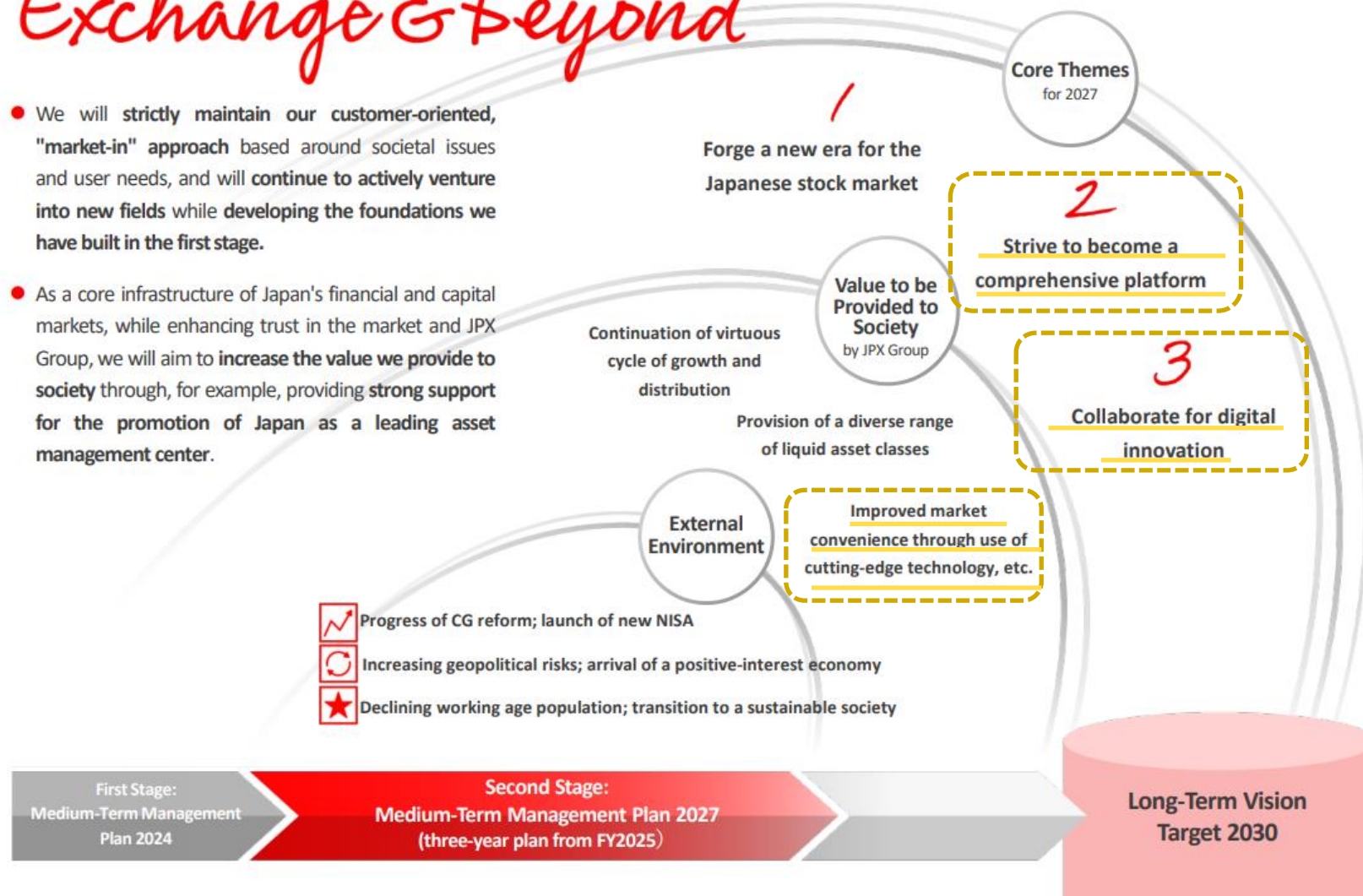


Positioning of Each Initiative in the "Medium-Term Management Plan 2027"

Basic Policy for Medium-Term Management Plan 2027

Exchange & beyond

- We will strictly maintain our customer-oriented, "market-in" approach based around societal issues and user needs, and will continue to actively venture into new fields while developing the foundations we have built in the first stage.
- As a core infrastructure of Japan's financial and capital markets, while enhancing trust in the market and JPX Group, we will aim to increase the value we provide to society through, for example, providing strong support for the promotion of Japan as a leading asset management center.



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Overview of JSCC's Business

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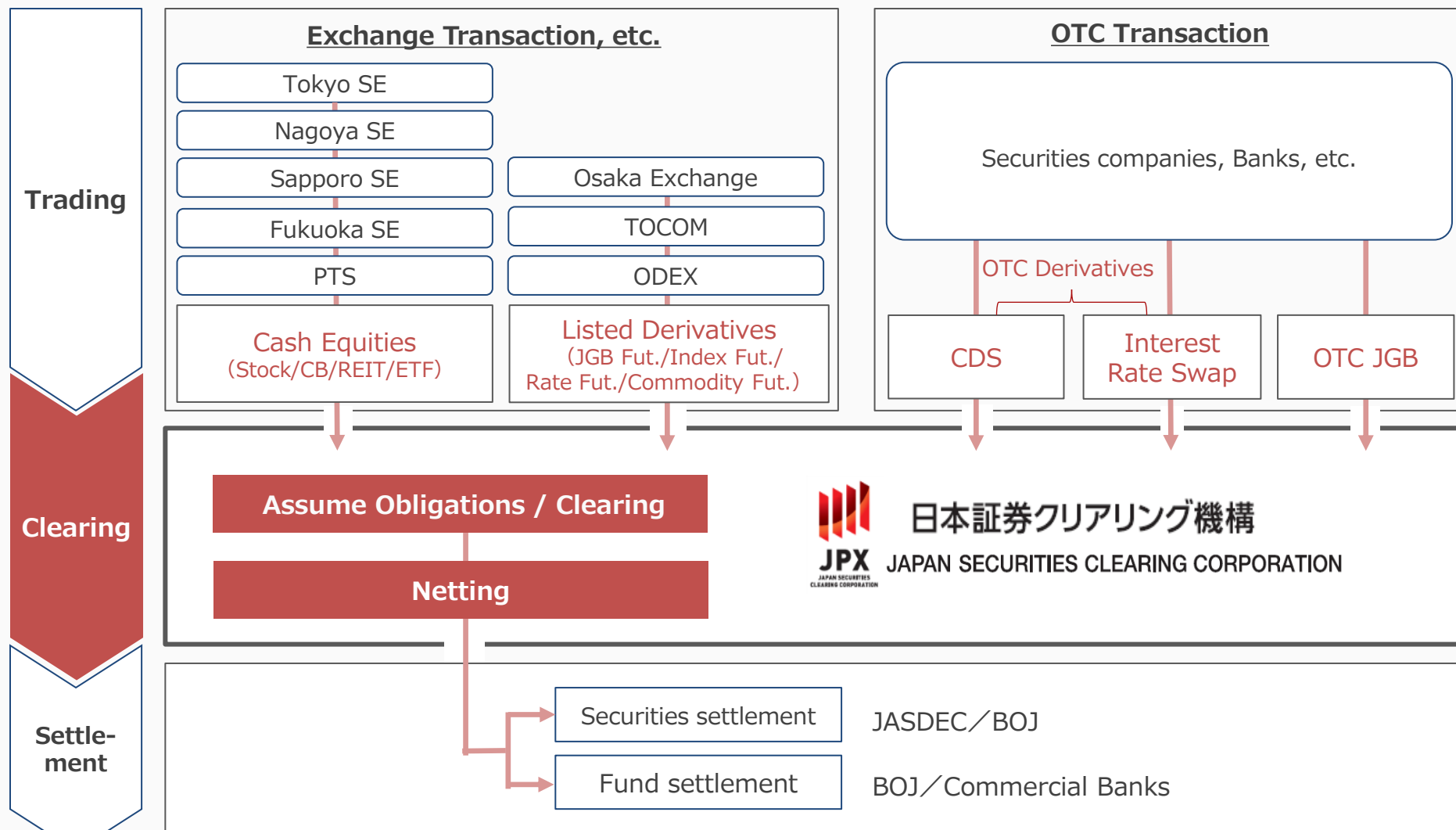
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Overview of JSCC's Business



JSCC Overview

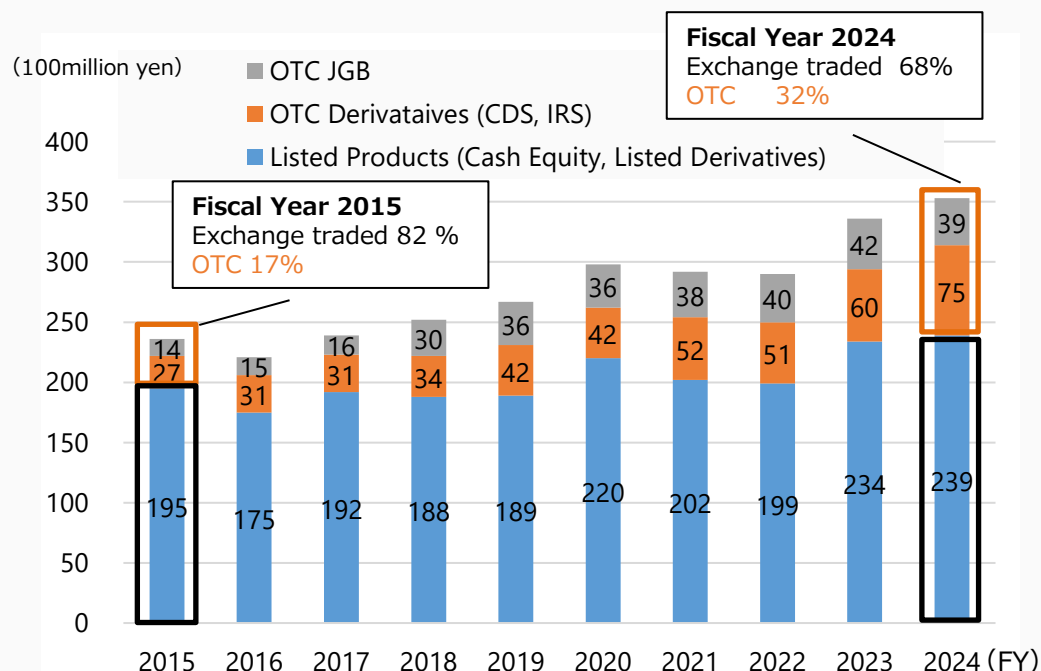
- JSCC offers clearing functionality for Listed Products, OTC Derivatives (CDS and IRS) and JGB OTC Transactions.



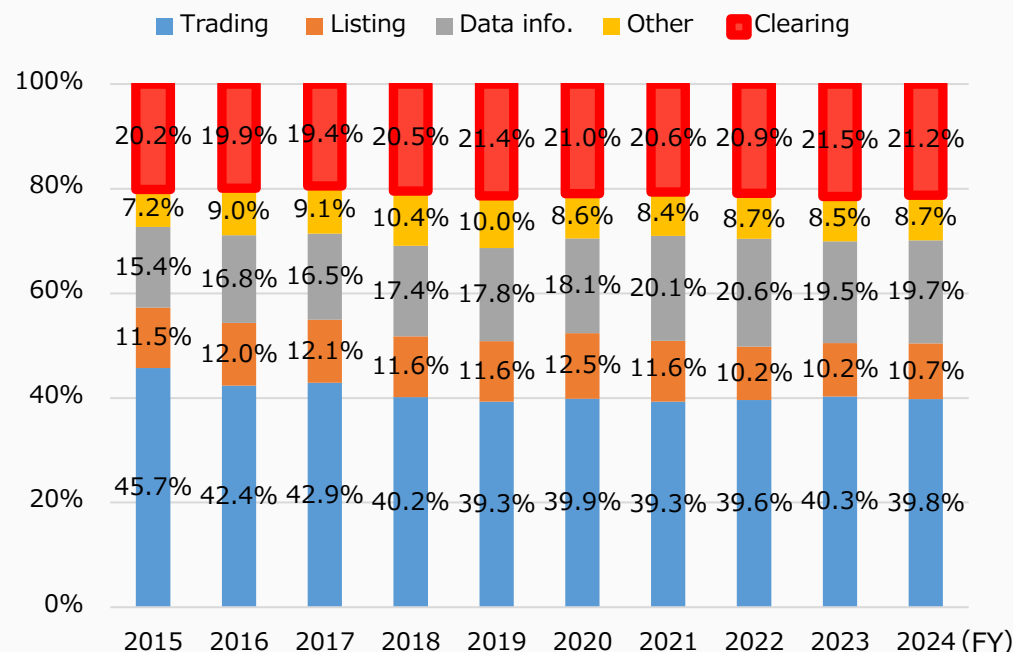
Revenue

- **Operating revenues are expanding moderately**, mainly from improved market conditions and increase in OTC derivatives clearing volume.
- **Majority of the revenues are from exchange-traded transactions (equities and listed derivatives)**, but revenue from off-exchange transactions (OTC derivatives and OTC JGBs) has increased in recent years.
- **JSCC's operating revenue (i.e., clearing-related revenue) accounts for approx. 20%** of JPX's overall operating revenue.

Breakdown of JSCC's operating revenue



Clearing-related revenue to JPX's overall operating revenues



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Mid-Term Business Plan (FY2025 - FY2027)

- Under the next medium-term business plan, we focus on following 3 management policies and 5 critical issues and strive to take specific measures, under our management philosophy.

Corporate Philosophy

JSCC, with a solid risk-management framework, aims to contribute to sustainable development of the markets by improving the efficiency, serviceability, and safety of the markets as a post-trade processing infrastructure.

Business Policies and Key Issues for next Mid-Term Business Plan

Business Policies

- I. Ensure highly reliable service built on close communications with users, both domestic and foreign
- II. Expand business steadily, whilst balancing with risk management
- III. Seek world leading clearing services utilizing cutting-edge technologies

Key Issues

- i. Advance clearing services incorporating global best practices
- ii. Further expand user base of the OTC Derivatives and OTC JGB Clearing Services
- iii. Maintain/build a robust Business Continuity Framework
- iv. Effectively utilize deposited collateral assets
- v. Streamline Clearing Qualification/Loss Compensation Framework with the aim of achieving both safety and efficiency

Mid-Term Business Plan (FY2025 - FY2027)



Key Issue	Market	Specific Business Plan
i Advance Clearing Services incorporating Global Best Practices	Equity Market	● Improve creation/redemption framework for cash-type ETF and platform replacement ● Introduction of new initiatives (e.g. Digitization of investment securities issued by BOJ) ● Discussion of shortening settlement cycles, taking account of international trends
	Listed Derivatives Market	● Introduction of new products/initiatives ● Further optimize Clearing Fund/Initial Margin framework ● Activate commodity derivatives (promote onboarding of new participants)
	OTC Derivatives Market	CDS ● Study shortening of clearing cycle ● Improve serviceability of participants (e.g. Streamline trade processing and automation of position transfer process)
		IRS ● Improve the operational efficiency for participants (e.g. Enhance vendor-initiated compression functionality and automation of position transfer process) ● Improve serviceability of overseas clients
	OTC JGB Market	● Expand eligible products for clearing and improve serviceability
	Common to All Markets	● Join innovative initiatives in digital area both in/outside Japan (e.g. Optimization of trade reporting via DRR*) * Digital Regulatory Reporting ● Optimize operations and leverage data, such as by using AI

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Mid-Term Business Plan (FY2025 - FY2027)

Key Issue	Market	Specific Business Plan
ii Further Expand the User Base of the OTC Derivatives and JGB OTC Clearing Services	OTC Derivatives Market	CDS Maintain/expand clearing share (e.g. Expand the number of single name Reference Entities)
		IRS Further promote onboarding of domestic/foreign clients (strengthen relationship with clients)
	OTC JGB Market	Expand use of clearing (e.g. launch Clearing Fund Sponsored Scheme, discussion toward clearing of non-resident transactions)
iii Maintain/Build a Robust Business Continuity Framework	Common to All Markets	- Strengthen cybersecurity measures - Improve resilience (e.g. Continuous enhancement of clearing system)
iv Effectively Utilize Deposited Collateral Assets	Common to All Markets	Diversification of collateral management method
	Common to All Markets	Leverage DLT/digital assets (e.g. Digitization of warehouse receipts and PoC for tokenizing collateral asset)
v Streamline Clearing Qualification/ Loss Compensation Framework	Listed Derivatives Market	Review clearing qualification structure/loss compensation framework and related matters

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Current Initiatives on Clearing Services



Competitive and Regulatory Environment

■ Competitive environment differs depending on cleared market.

Market	Competitive Environment
Listed Cash Equities (Stock / ETF)	JSCC clears all trades on Japanese domestic exchanges and PTS, <u>currently no competitor exists</u>
Listed Derivatives (Financial / Commodity)	<u>Exchanges/Clearinghouses compete globally</u> (CME/SGX)
OTC Derivatives (IRS / CDS)	<u>Intense global competition among clearinghouses</u> (LCH)
OTC JGB	JSCC clears most of the trades between domestic financial institutions, <u>currently no competitor exists</u>

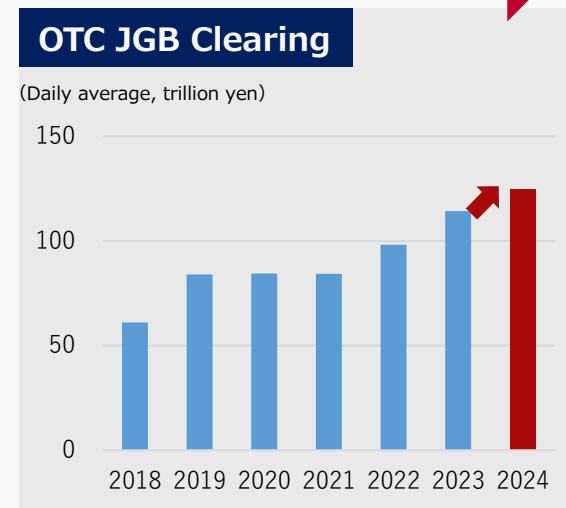
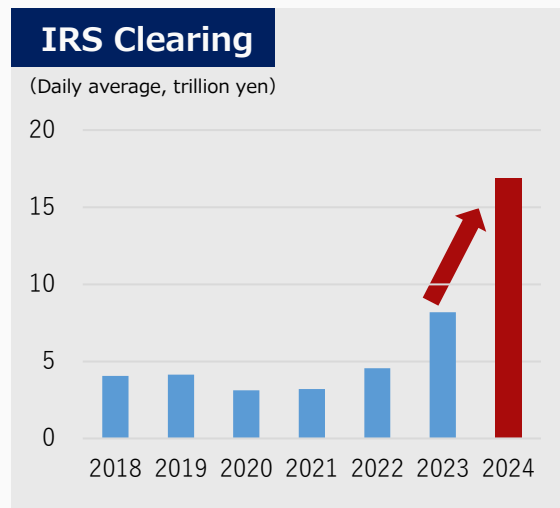
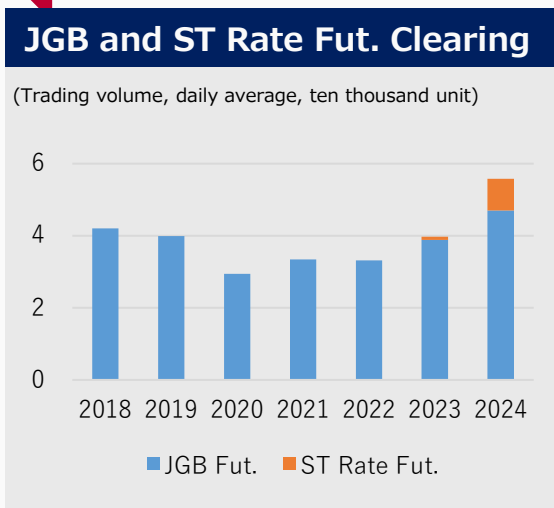
■ Regulatory environment: JSCC offers clearing functionality globally under supervision of the domestic and international/overseas regulators.

Type of regulation	Detail
Global Regulation	<u>PFMI</u> (Principles for Financial Market Infrastructures) - International standards requiring higher standards for various items, such as risk management, with the aim to increase the robustness of FMIs - Compliance with the Principles is the minimum requirement for clearing transactions for global financial institutions.
Domestic regulations	Obtained licenses/permits under the <u>FIEA</u> and <u>CDA</u>
Foreign regulations	<u>Obtained CCP licenses from foreign authorities</u> for cross-border trade clearing (especially OTC derivatives) involving overseas financial institutions

i) Changes in Interest Rate Environment - Further Expansion of Clearing of JPY Interest Rate-related Products

- **Trading and clearing of JPY interest rate-related products have been active.**
Particularly, Clearing values in FY2024 were JPY 4,866tril. for IRS and JPY 31,960tril. for OTC JGB, both of which were **record-high**.
- Leveraging our strength as a one-stop provider of clearing services for JPY interest rate-related products, we will promote the following measures to revitalize the market
 - **Cross-product sales activities** of JPY interest rate-related products **in cooperation with** OSE
 - **Maximize margin efficiency** among JPY interest rate products (**expand the scope of cross margin** coverage to include **3-month TONA futures**)

i) Cross-product sales activities of JPY interest rate-related products



ii) Margin efficiency among JPY interest rate products

Expansion of cross margin coverage

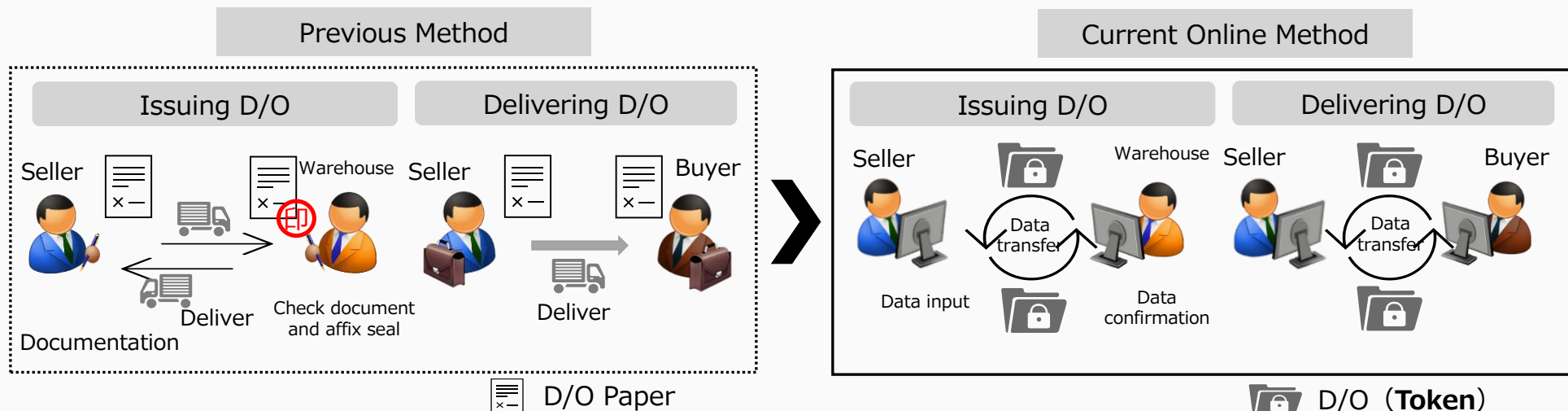
IRS – JGB Fut.	Already covered
IRS – TONA 3M Fut.	Added from Mar. 2024

Progress in Use of Advanced IT

- DLT Utilization in Delivery/Settlement of Commodity Futures

- JSCC **pursues the use of new technologies in existing operations**, such as settlement by delivery, from the perspective of improving operational efficiency.
- In January 2023, **tokenization of delivery order for rubber futures' settlement by delivery was realized, which is the first case of practical implementation of DLT.**
- As to digitized delivery/settlement of precious metal futures, we are working on a preparation for introduction after legal system reform related to warehouse receipts*
*Since warehouse receipts are categorized as securities, unlike delivery orders, the legal system needs to be revised to allow for their digitalization.
- In addition, JSCC is participating in a substantive experiment in digital asset area (e.g., smooth transfer of collateral assets via tokenization) with DTCC (Depository Trust & Clearing Corporation, the world largest clearing/settlement organization) in the U.S.

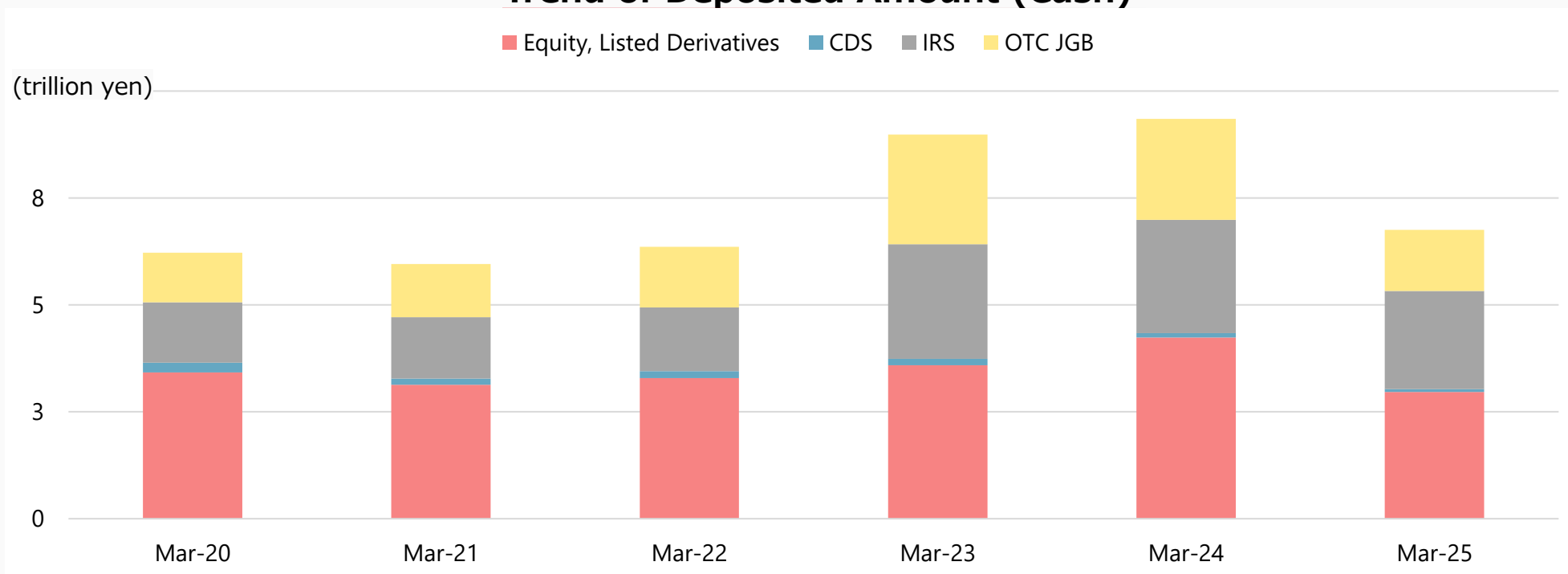
Delivery and settlement of rubber futures (image)



iii) Efficient Use of Posted Collaterals

- JSCC accepts collaterals (cash/securities, etc.) in the large amount. So, it is studying efficient use of collaterals and initiatives for an enhancement of convenience of Clearing Participants/investors in posting collaterals.
- As a part of such efforts, a collateral management using reverse-repo transactions has been introduced since last year in OTC Derivatives and will be introduced from this summer for Listed Products Clearing Service.

Trend of Deposited Amount (Cash)



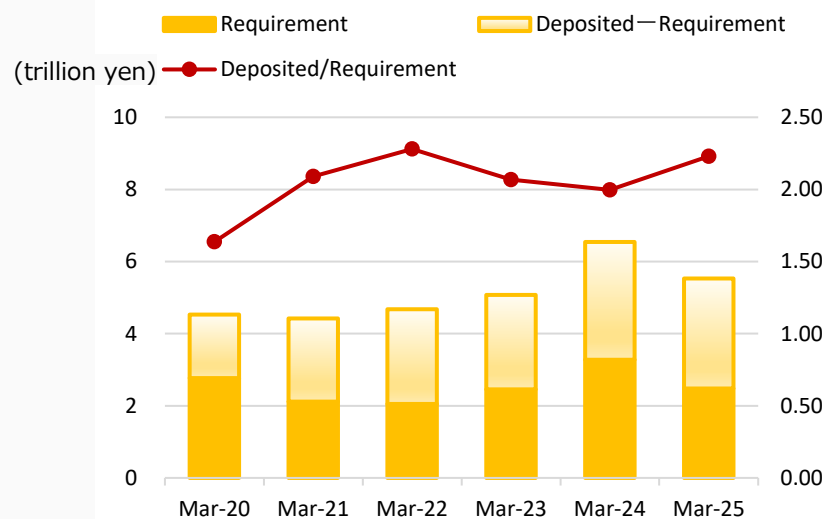
Reference_Posted Collateral Management Policy

- Shown below are management policy of posted collaterals in OTC Derivatives and Listed Products Clearing Services:

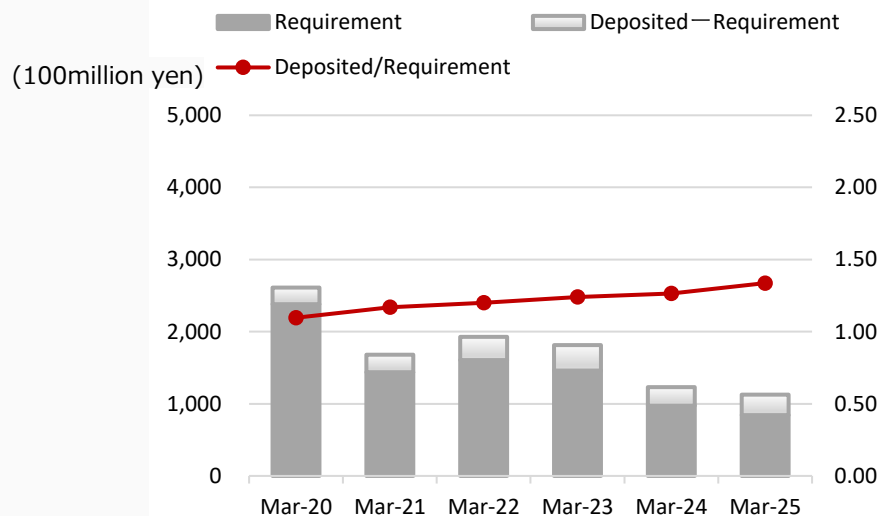
#	Management Policy		OTC Derivatives	Listed Products
1	Amount		• Posted collaterals of Clearing Participants which desire the management, minus the amount subject to withdrawal request	• Posted collaterals of Clearing Participants which desire the management, minust the amount set aside for daily operation needs, such as withdrawal
2	Method		• Out of the amount mentioned in #1, the amount set aside to be ready for withdrawal request is managed in ordinary deposit at a trust bank with sufficient creditworthiness • Remaining amount is managed via reverse repo transactions, etc.	• Managed via “Overnight Reverse Repo” backed by JGBs
3	Gains Distribution Method	JSCC	• Amount subject to management×20bps	• Shared equally between JSCC and Clearing Participants
		Clearing Participant	• Amount remaining after subtracting the above	

Reference_Collateral – Posted / Requirement

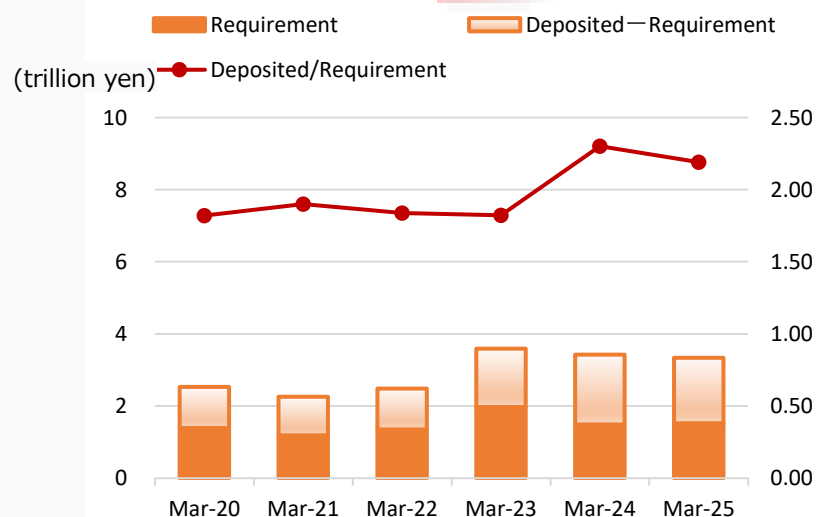
Equity, Listed Derivatives



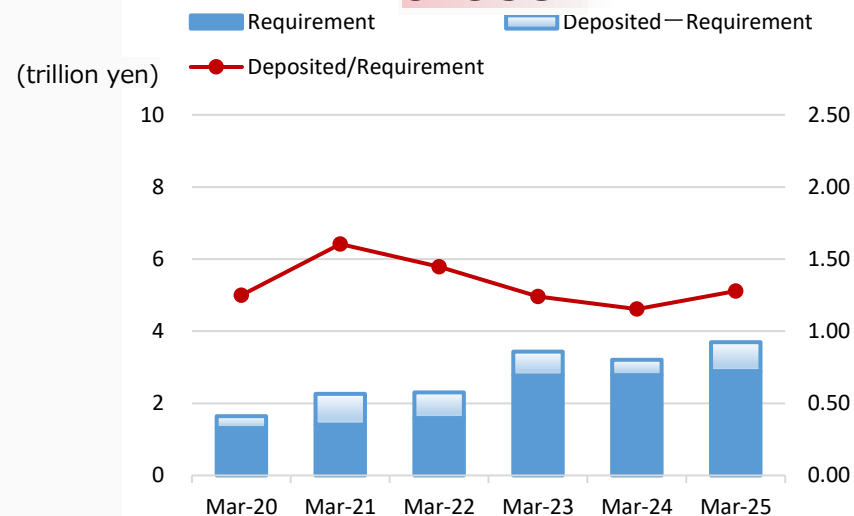
CDS



IRS



OTC JGB



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